

Caris Life Sciences

NASDAQ : CAI \$7.29B mkt cap · 278M sh · \$800M cash, \$378M debt · FY25 revenue \$812M (+97%!); GM 47%→65%; adj-EBITDA +\$138M; FCF-POSITIVE, · Mature- near GAAP breakeven; IPO Jun-2025 @ \$21; now \$15.38 (~27% below offer); FY26 guide \$1.0-1.02B (+24%); ~\$0.42B net cash; Halbert Company DCF~42% vote; SBC ~\$70M flatters adj-EBITDA; ~\$33M of FY25 rev was reimbursement true-ups

\$26.27

THE CENTRAL QUESTION

After the July 2026 de-rate Caris trades ~5.5x sales — below the ~6x Tempus comp — while already FCF-positive at GAAP breakeven; cheaper than Tempus and further along, is the market mispricing a real 47%-to-65% margin inflection?

Caris Life Sciences is an AI precision-oncology diagnostics company — whole-exome and whole-transcriptome tumor profiling plus blood-based testing — that IPO'd June 2025 at \$21.00 and now trades \$15.38, ~27% below its offer after a July 2026 de-rate on no company-specific news. FY2025 revenue grew 97% to \$812M, gross margin expanded 47%→65%, and unlike most diagnostics scalars it is already free-cash-flow positive with +\$138M adj-EBITDA, near GAAP breakeven. The DCF asks whether the margin inflection holds as growth steps down to a +24% guide. Weighted fair value \$23.63, ~54% above spot — and the base case alone (\$19.41) now sits ~26% above the price, so the finding no longer rests on the data-moat tail.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$23.63

expected fair value today
-10.1% vs spot \$26.27

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$36.62	\$56.81	\$88.16	\$136.92
1.39× spot	2.16× spot	3.36× spot	5.21× spot

WEIGHTING RATIONALE

Ultra Bear 13% Growth ~6.6%, the reimbursement true-up reverses, margins stay near zero — DCF \$5.25.

Bear 27% Decelerates to ~11.9%, pricing pressure bites, the multiple re-rates down — DCF \$10.28.

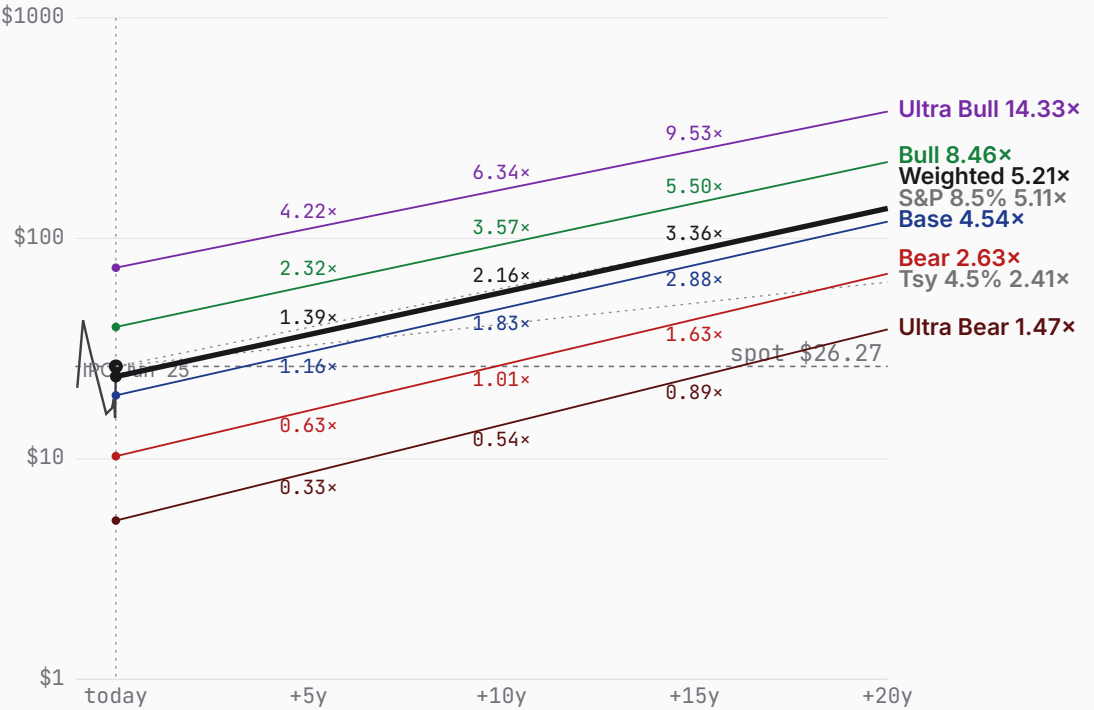
Base 33% ~16.7% growth, margin inflection holds to 21% owner-FCF — DCF \$19.41, ~26% above spot.

Bull 18% ~22% hypergrowth, the data moat drives operating leverage — DCF \$39.65.

Ultra Bull 9% ~27% growth, oncology-data standard, software-like 35% margins — DCF \$73.64.

Bull (18%) + Ultra Bull (9%) together contribute \$13.76 — 58% of the \$23.63 expected value despite 27% combined probability. Today's spot (\$26.27) sits 11% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$5.25	BEAR	\$10.28	BASE	\$19.41	BULL	\$39.65	ULTRA BULL	\$73.64
	-80.0% vs spot		-60.9% vs spot		-26.1% vs spot		+50.9% vs spot		+180.3% vs spot
CAGR +6.6% WACC 10.5% CAGR +6.6% Prob 13%		CAGR +11.9% WACC 10.0% CAGR +11.9% Prob 27%		CAGR +16.7% WACC 9.5% CAGR +16.7% Prob 33%		CAGR +22.1% WACC 9.0% CAGR +22.1% Prob 18%		CAGR +26.8% WACC 8.5% CAGR +26.8% Prob 9%	
Growth collapses; true-up reverses		Decelerates; multiple ran ahead		Solid growth, the margin inflection holds		Hypergrowth + data-moat leverage		Becomes the oncology-data standard	

PROBABILITY WEIGHTS

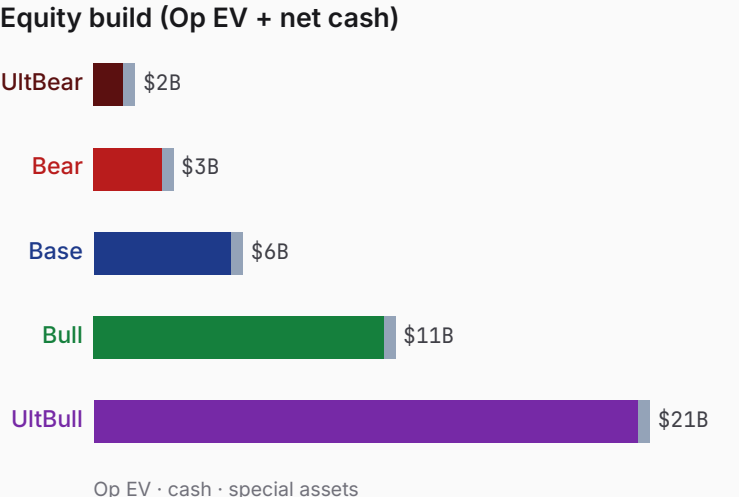
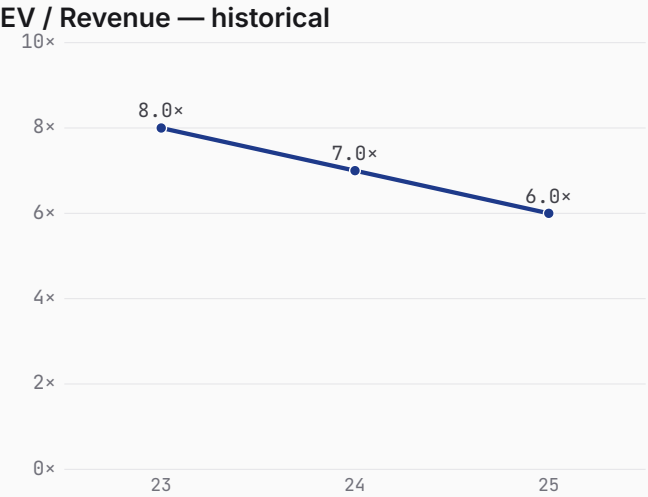
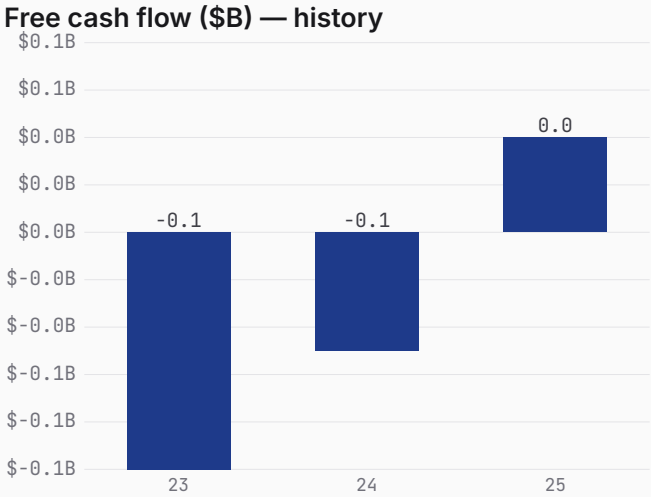
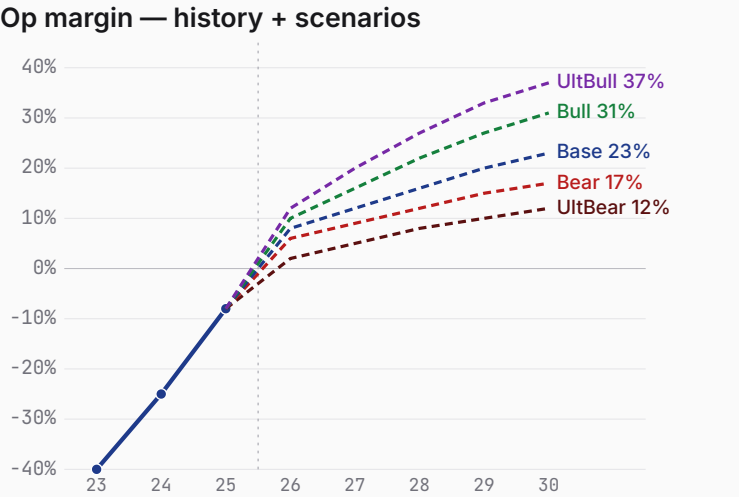
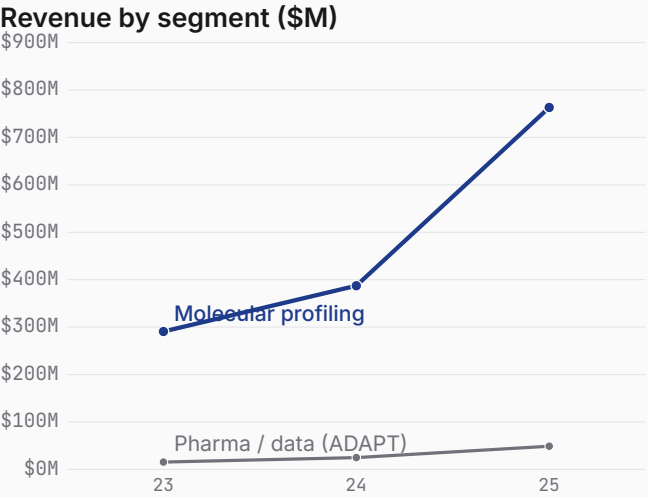
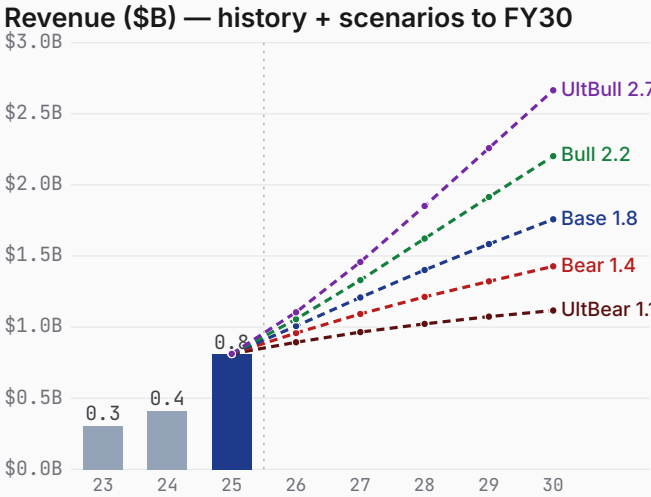
Ultra Bear 13% Bear 27% Base 33% Bull 18% Ultra Bull 9% · Weighted expected \$23.63 (-10.1% vs spot)

ULTRA BEAR	\$5.25	BEAR	\$10.28	BASE	\$19.41	BULL	\$39.65	ULTRA BULL	\$73.64
	-80.0% vs spot		-60.9% vs spot		-26.1% vs spot		+50.9% vs spot		+180.3% vs spot
Probability 13%		Probability 27%		Probability 33%		Probability 18%		Probability 9%	
Growth collapses; true-up reverses		Decelerates; multiple ran ahead		Solid growth, the margin inflection holds		Hypergrowth + data-moat leverage		Becomes the oncology-data standard	
WHY 13%		WHY 27%		WHY 33%		WHY 18%		WHY 9%	
Requires the volume engine to stall near term and the true-up to be a one-off rather than a recurring feature of payer settlements. Possible given the steep step-down already guided, but the cash-positive base makes outright collapse less likely than for a pre-breakeven peer.		The honest deceleration case — going from +97% to a +24% guide is a steep step, and a further undershoot plus pricing pressure is plausible. Weighted at 27% as the most credible downside if the data moat proves shallower than bulls assume.		Centered on management hitting the FY26 guide and sustaining the volume KPI while margins keep inflecting — the continuation of what the last two years already showed. Carries the plurality 33% weight as the most likely path.		Needs growth to stay above 20% well past the guide and the gross-margin gains to keep compounding into operating leverage. Plausible if the data asset is a genuine cornered resource, but it asks the company to outrun a steep deceleration; 18%.		The full platform win — durable hypergrowth, a true data-network effect, and software-like margins together. Each is individually demanding and the combination is a tail, so it carries 9% — meaningful upside optionality, not a central expectation.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
Revenue compounds only ~6.6% as test-volume growth stalls and reimbursement true-ups reverse rather than recur. The ~\$33M of 2025 revenue tied to prior-year reimbursement catch-ups proves non-repeatable, and the reported growth rate is exposed as flattered.		Revenue grows ~11.9% — well below the +24% guide — as competition pressures per-test pricing and the easy share gains slow. The margin inflection partly holds, reaching mid-teens owner-FCF, but not fast enough to outrun a contracting multiple.		Revenue compounds ~16.7%, roughly in line with the guided range, as clinical test volume grows around 20% and Caris Assure, MI Cancer Seek and the newly MoIDX-covered ChromoSeq myeloid assay (May-2026) add incremental lives. The 47%-to-65% gross-margin move continues toward 21% owner-FCF as fixed lab and data costs leverage.		Revenue compounds ~22% as the proprietary whole-exome/transcriptome data asset and the ADAPT platform drive both test volume and pharma partnership revenue, while comprehensive profiling takes share from narrower NGS panels.		Revenue compounds ~27% as Caris establishes its molecular database as the reference standard for oncology decision-making, with comprehensive profiling, blood-based MRD and the ADAPT AI layer compounding into a network where more tests improve the data and the data wins more tests. The Caris Detect multi-cancer screening launch (Jul-2026, versus Grail and Exact) is unpriced optionality on top — no reimbursement or revenue yet, so it is narrated here, not modeled.	
Margins barely move off the floor, holding near 0% owner-FCF as price competition from Tempus, Guardant and Foundation erodes the gross-margin gains. The ~5.5x sales multiple compresses hard against a decelerating, low-margin base. DCF lands at \$5.25, down 71%.		The market re-rates a ~5.5x-sales name toward something closer to a low-double-digit grower, and the IPO-era premium unwinds. At a 4%-to-15% margin path the DCF is \$10.28, down 44%. The setup is a quality business that was simply priced ahead of its delivery.		This is the modal outcome — a real growth-plus-margin story that delivers, not a moonshot. At \$19.41 the DCF sits ~26% above the \$15.38 price — after the July 2026 de-rate, simply executing the plan clears spot.		Operating leverage on a fixed data and lab base pushes owner-FCF toward 29%, software-like for diagnostics. The market rewards durable hypergrowth plus a widening margin with an expanded multiple. DCF reaches \$39.65, up 116%, as the data-moat thesis starts to show in the financials.		Owner-FCF margins reach ~35%, approaching software economics as the data and AI layer scales near-zero-marginal-cost. At \$73.64 the DCF is triple the price. This is the platform outcome where the cornered data resource and scale economics fully express.	

Caris Life Sciences business snapshot

Bear \$10.28 Base \$19.41 Bull \$39.65

FY23-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec 31 · FY2025 + Q1'26 results (IPO Jun'25)



Sources: Caris Life Sciences FY2025 results + Q1'26 (CIK 2019410), IPO 424B4 (Jun 2025), FY26 guidance. Revenue as a growth-rate path off FY25 (\$812M, +97%); FCF = revenue x an SBC-adjusted owner-FCF margin (already positive; SBC ~\$70M deducted); Gordon terminal at scenario WACC. Pre-IPO history/EV-rev are notional. EV/sales vs precision-diagnostics peers.

Caris Life Sciences 7 Powers · the moat, scored

Bear \$10.28 Base \$19.41 Bull \$39.65

Arena. Comprehensive molecular diagnostics and oncology data — Caris competes with Tempus, Guardant, Roche's Foundation Medicine, Natera and Exact Sciences for tumor-profiling and liquid-biopsy volume. The Caris Detect launch (Jul-2026) adds a multi-cancer early-detection screening front versus Grail's Galleri and Exact's Cancerguard.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies 	Fixed lab and data-platform costs leverage as test volume compounds; +97% growth drove gross margin 47% to 65%.
Network Economies 	More tests enrich the molecular database, which sharpens the ADAPT AI and wins more clinician and pharma demand.
Counter-Positioning 	Whole-exome/transcriptome depth is hard for pure-NGS-panel incumbents to match without re-tooling, but not a true business-model trap.
Switching Costs 	Clinician workflow integration and longitudinal patient data create some stickiness, modest versus entrenched EHR or pathway tools.
Branding 	Growing reputation in oncology decision support, but clinical results and reimbursement, not brand, drive adoption.
Cornered Resource · thesis leans here 	The proprietary whole-exome/transcriptome dataset plus the ADAPT platform — the deepest differentiator and the basis of the data moat.
Process Power 	Integrated profiling-plus-AI workflow is hard to replicate quickly, but rivals are closing on capability.

PEER SET

Tempus (TEM) AI-precision-oncology data peer; near-breakeven, the direct comp — buying Personalis (~\$1.5B all-stock, Jul-2026) to build MRD	25% gr · ~6x sales
Guardant Health Liquid-biopsy leader, still loss-making, overlaps in blood-based testing	20% gr · ~10% mgn · ~6x sales
Foundation Medicine Roche-owned tumor-profiling division; deep-pocketed incumbent, not standalone-priced	· division
Natera Genetic testing and MRD; faster-growing, ~breakeven, richer multiple	30% gr · ~9x sales

THREAT VECTORS · FALSIFIERS

scale/pricing · Tempus, Guardant, Foundation falsifier: Per-test reimbursement or list pricing falls under competitive and payer pressure, halting the gross-margin inflection.
Cornered Resource · Tempus, Roche, Natera falsifier: A rival assembles a comparable comprehensive-profiling dataset, commoditizing the data moat before scale and network effects lock in. Tempus's ~\$1.5B Personalis deal (announced Jul-2026, closing early 2027) puts that consolidation in motion on the MRD front — a warning shot at Caris Assure, not yet at the core whole-exome/transcriptome moat.
Network Economies · well-capitalized incumbents falsifier: Volume growth stalls below ~20%, so the data and scale flywheel never reaches the operating leverage the bull case needs.

COMPETITIVE READ

Caris is originating a plausible cornered resource — a proprietary whole-exome/transcriptome dataset feeding the ADAPT AI — with scale and network economics building as volume compounds, already visible in the 47%-to-65% gross-margin move. Durability is medium, not high — Foundation has Roche's balance sheet, Tempus and Natera are building comparable data, and reimbursement pricing is the shared vulnerability. The falsifier the bull must clear is sustained ~20%+ volume growth with the gross margin holding 65%+; if growth decelerates below that or pricing erodes margin, the moat commoditizes before it locks in.

Caris Life Sciences show your work

Bear \$10.28 Base \$19.41 Bull \$39.65 · Weighted \$23.63 (-10.1%)

ULTRA BEAR\$5.25					BEAR\$10.28					BASE\$19.41					BULL\$39.65					ULTRA BULL\$73.64				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+6.6					+11.9					+16.7					+22.1				
Year-5 op margin (%)					12.0					17.0					23.0					31.0				
WACC (%)					10.5					10.0					9.5					9.0				
Terminal growth (%)					3.0					3.5					4.0					4.5				
Terminal FCF (\$B)					\$0.11B					\$0.21B					\$0.37B					\$0.64B				
Starting revenue (\$B)					0.81					0.81					0.81					0.81				
Scenario probability (%)					13					27					33					18				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	0.89	+2%	+0.00	+0.00	FY26	0.96	+6%	+0.04	+0.04	FY26	1.01	+8%	+0.06	+0.06	FY26	1.06	+10%	+0.08	+0.08	FY26	1.10	+12%	+0.11	+0.10
FY27	0.96	+5%	+0.03	+0.02	FY27	1.09	+9%	+0.08	+0.06	FY27	1.21	+12%	+0.12	+0.10	FY27	1.33	+16%	+0.19	+0.16	FY27	1.46	+20%	+0.26	+0.22
FY28	1.02	+8%	+0.06	+0.04	FY28	1.21	+12%	+0.12	+0.09	FY28	1.40	+16%	+0.20	+0.15	FY28	1.62	+22%	+0.33	+0.25	FY28	1.85	+27%	+0.46	+0.36
FY29	1.07	+10%	+0.09	+0.06	FY29	1.32	+15%	+0.17	+0.12	FY29	1.58	+20%	+0.28	+0.20	FY29	1.91	+27%	+0.48	+0.34	FY29	2.26	+33%	+0.70	+0.51
FY30	1.12	+12%	+0.11	+0.07	FY30	1.43	+17%	+0.21	+0.13	FY30	1.76	+23%	+0.37	+0.23	FY30	2.20	+31%	+0.64	+0.41	FY30	2.67	+37%	+0.93	+0.62
Σ PV explicit FCF					+0.20					+0.44					+1.24					+1.81				
+ PV terminal (g 3.0%)					0.93					2.12					9.64					18.61				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$1.13B					\$2.56B					\$10.88B					\$20.42B				
+ Cash & investments					\$0.80B					\$0.80B					\$0.80B					\$0.80B				
– Total debt					\$0.38B					\$0.38B					\$0.38B					\$0.38B				
= Equity value					\$1.55B					\$2.98B					\$11.30B					\$20.84B				
FY30 shares (M)					295					290					285					283				
= Expected per share					\$5.25					\$10.28					\$39.65					\$73.64				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$8.65	\$14.25	\$23.47	\$38.67		\$16.56	\$26.66	\$42.94	\$69.16		\$30.56	\$48.10	\$75.72	\$119.21		\$61.01	\$93.87	\$144.42	\$222.21		\$110.73	\$166.50	\$250.36	\$376.45	
0.33×	0.54×	0.89×	1.47×		0.63×	1.01×	1.63×	2.63×		1.16×	1.83×	2.88×	4.54×		2.32×	3.57×	5.50×	8.46×		4.22×	6.34×	9.53×	14.33×	

Caris Life Sciences

People · Opportunity · Context · Deal

Bear \$10.28 Base \$19.41 Bull \$39.65

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

David D. Halbert · founder-led

18 yrs in seat

44%insider ownership

HIGHkey-person risk

Capital allocation (realized)
IPO'd Jun-2025 at \$21.00, raising ~\$494M gross (23.5M Class A shares); FY2025 cash & equivalents jumped to \$796.3M (from \$64.0M FY24), ~\$418M net cash. The inflection: FY2025 operating cash flow turned positive at +\$83.2M (vs ~\$245.2M FY24) and, against ~\$16.3M capex, free cash flow went positive ~+\$67M near GAAP breakeven. R&D \$101.6M FY25. No dividend; first capital return came post-period — a \$100M buyback authorized Jun-2026. SBC \$70.0M FY25 (up from \$18.6M FY24, IPO-driven), which flatters adjusted EBITDA.

Incentive alignment
FY2025 total compensation ~\$20.35M, ~96% equity/option awards granted around the June 2025 IPO and only ~3.8% (~\$0.77M) base salary — a normal salary, not a nominal \$1. The dominant alignment lever is the founder stake (~44% economic, ~\$2.3B at the FY2025 price), not annual cash pay.

GOVERNANCE FLAGS

- single class of common stock, one vote per share (no dual-class / super-voting) — confirmed across the final 424B4, the post-IPO charter, Form 8-A12B (listed security = plain "common stock"), the 10-K Exhibit 4.2, the proxy share count, and SEC XBRL; the Class A/B 10-vote language existed only in the draft S-1 and was dropped before the IPO
- founder David Halbert is the largest holder at ~44.6% economic = ~44.6% of the vote (single-class) — significant influence, below an outright majority; insiders together ~66%
- combined Founder + Chairman + CEO (Halbert), with a lead independent director (Peter Castleman) as the counterweight
- the IPO prospectus used conditional "may become a controlled company" language (never an affirmative claim); governance is run with a majority-independent board (8 of 10), fully independent Audit + Compensation committees, and no standing nominating committee (nominations by the independent directors)
- related-party: aircraft agreements with Halbert-affiliated entities (Caris Air), ~\$1.6-2.1M/yr net; co-founder Jon Halbert on the board since 2014

PEOPLE READ

Founder-Chair-CEO Halbert is the largest holder at ~44.6% on a clean single-class one-vote register (no super-voting — the draft S-1's dual-class was dropped before the IPO), giving significant influence below an outright majority; the board keeps fully-independent Audit/Comp, 8-of-10 independence and a lead independent director, and he is aligned via the stake + a fresh FCF inflection + a new \$100M buyback — with the combined Chair/CEO, the ~44.6% concentration, and a Halbert-affiliated aircraft related-party the offsets.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market common — entry price weighed against the probability-weighted fair value (the ~+54% finding), then position-sized.

Caris Life Sciences supporting analysis · disclaimers · glossary

Bear \$10.28 Base \$19.41 Bull \$39.65

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

Already FCF-positive, unlike Tempus
Caris is FCF-positive at GAAP breakeven with +97% growth, where Tempus at a higher multiple was barely breakeven — cheaper multiple, further along.
- 2

The margin inflection is real
Gross margin went 47%→65% in a year and Q1'26 posted positive GAAP operating income — observed operating leverage, not promised.
- 3

Comprehensive profiling is differentiated
Whole-exome + whole-transcriptome is deeper than rivals' pure-NGS panels, and the data asset compounds — a cornered resource as volume scales.
- 4

Priced below the IPO
At \$15.38, ~27% below the \$21.00 offer thirteen months on, even the base case now clears spot — and the hypergrowth and data-moat tails are not priced in at all.
- 5

The true-up flatters the trend
About \$33M of 2025 revenue was prior-year reimbursement catch-ups, and SBC of ~\$70M flatters adj-EBITDA — the underlying organic, owner-economics trend is softer than the headlines.

FALSIFICATION TRIGGERS

Bull validation Test volume sustaining ~20%+ past the FY26 guide; gross margin holding 65%+ and converting to rising owner-FCF.	Bear validation Growth undershooting the +24% guide; per-test pricing eroding; the 2025 reimbursement true-up not recurring.	Reframe needed Margin gains reversing, or SBC/dilution making owner-FCF negative despite positive adj-EBITDA — the Tempus 'priced-for-perfection' read.
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Comprehensive molecular profiling — Whole-exome (all coding genes) + whole-transcriptome (all RNA) tumor sequencing — broader than rivals' targeted NGS panels.	MI Cancer Seek — Caris's combined DNA/RNA tumor-profiling assay; reimbursement reach is measured in covered lives (>225M).	Caris Assure — The blood-based liquid-biopsy line, including minimal-residual-disease (MRD) monitoring — detecting cancer DNA in blood to track recurrence.
Test-volume KPI — Clinical test volume growth (~20% guided) — the operating metric that drives diagnostics revenue, watched independently of price/mix.	Adj-EBITDA vs owner-FCF — Adj-EBITDA adds back ~\$70M of stock comp; owner-FCF treats SBC as a real cost, so it is the more conservative read of cash economics.	Reimbursement true-ups — Catch-up revenue booked when payers settle prior-period claims; ~\$33M in 2025 — non-recurring, so it flatters the reported growth rate.